

Module 6

Financial Accounting

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)

Answer 1(a)

Workings for consolidated statement of financial position as at 31 March 2022:

	<u>SGL</u>	<u>PLL</u>	<u>Dr</u>	<u>Cr</u>	<u>Group</u>
	HK\$'000	HK\$'000	HK\$'000	HK\$'000	HK\$'000
<u>Asset</u>					
<i>Non-current assets</i>					
Property, plant and equipment, net	82,500	31,300	CJ1 3,000	250 CJ2	116,550
Investment in Platinum Limited	22,400	-		22,400 CJ1	0
Goodwill	-	-	CJ1 1,200		1,200
<i>Current assets</i>					
Inventories	49,100	21,800		600 CJ3	70,300
Trade receivables	17,200	11,530			28,730
Cash	7,300	3,740			11,040
Total assets	178,500	68,370			227,820
<u>Equity and liabilities</u>					
<i>Equity</i>					
Share capital	80,000	20,000	CJ1 20,000		80,000
Retained earnings, 31 March 2022	23,200	19,270	CJ1 7,800	30 CJ2	30,634
			CJ2 150	45 CJ2	
			CJ2 100	3,600 CJ3	
			CJ3 3,600	180 CJ3	
			CJ3 600	700 CJ4	
			CJ4 490		
			CJ5 1,860		
			CJ5 1,791		
Non-controlling interest	-	-	CJ2 30	9,600 CJ1	12,786
			CJ2 45	1,860 CJ5	
			CJ3 180	1,791 CJ5	
			CJ4 210		
<i>Non-current liabilities</i>	49,600	14,000			63,600
<i>Current liabilities</i>	25,700	15,100			40,800
Total equity and liabilities	178,500	68,370			227,820

	HK\$'000	HK\$'000
CJ1: Pre-acquisition elimination entries		
Dr. Share capital	20,000	
Dr. Retained earnings, pre-acquisition	7,800	
Dr. Property, plant and equipment (net)	3,000	
Dr. Goodwill (W3)	1,200	
Cr. Investment in Platinum Limited		22,400
Cr. Non-controlling interest (B/S) (W2)		9,600
(W1): Fair value of net identifiable assets		HK\$'000
Share capital		20,000
Retained earnings		7,800
Fair value adjustment – Factory building		3,000
Fair value of net identifiable assets		<u>30,800</u>
(W2): Non-controlling interest at the acquisition date		
Number of shares held by the non-controlling interest (20,000,000 shares x 30%)		6,000,000 0
Fair value per share as at the acquisition date	HK\$	<u>1.6</u>
Non-controlling interest at the acquisition date	HK\$'000	<u>9,600</u>
(W3): Goodwill		HK\$'000
Consideration		22,400
Add: Non-controlling interest at the acquisition date (W2)		9,600
Less: Fair value of net identifiable assets (W1)		<u>(30,800)</u>
Goodwill		<u>1,200</u>

	HK\$'000	HK\$'000
CJ2: Extra depreciation expense for fair value adjustment		
Dr. Depreciation expense (HK\$3,000K / 30)	100	
Dr. Retained earnings, 1 April 2021 (HK\$3,000K / 30 x 1.5)	150	
Cr. Accumulated depreciation		250
Dr. Non-controlling interest (B/S) (HK\$150K x 30%)	45	
Cr. Retained earnings, 1 April 2021		45
Dr. Non-controlling interest (B/S) (HK\$100K x 30%)	30	
Cr. Non-controlling interest (P/L)		30

	HK\$'000	HK\$'000
CJ3: Upstream transfer of inventories		
Dr. Sales	3,600	
Cr. Cost of goods sold		3,600
Dr. Cost of goods sold	600	
Cr. Inventories (HK\$3,600K – HK\$3,600K / 1.2)		600
Dr. Non-controlling interest (B/S) (HK\$600K x 30%)	180	
Cr. Non-controlling interest (P/L)		180

	HK\$'000	HK\$'000
CJ4: Elimination of dividends declared		
Dr. Dividend income (HK\$700K x 70%)	490	
Dr. Non-controlling interest (B/S) (HK\$700K x 30%)	210	
Cr. Retained earnings – dividends declared		700

	HK\$'000	HK\$'000
CJ5: Share of profits to non-controlling interest		
Dr. Retained earnings, 1 April 2021	1,860	
Cr. Non-controlling interest (B/S) (W4)		1,860
(W4): Share of change in retained earnings in prior years to non-controlling interest		HK\$'000
Change in retained earnings recorded by PLL		
(HK\$14,000K – HK\$7,800K)		6,200
Non-controlling interest %		30%
		<u>1,860</u>
Dr. Non-controlling interest (P/L)	1,791	
Cr. Non-controlling interest (B/S) (W5)		1,791

(W5): Share of profit in the current year to non-controlling interest	HK\$'000
Retained earnings, 31 March 2022	19,270
Less: Retained earnings, 1 April 2021	(14,000)
Add: Dividends declared	<u>700</u>
Profit for the year	5,970
Non-controlling interest %	30%
	<u>1,791</u>

Alternatively, the share of the profits to the non-controlling interest could be calculated as follows:

	HK\$'000	HK\$'000
For prior years:		
Dr. Retained earnings, 1 April 2021	1,815	
Cr. Non-controlling interest (B/S)		1,815
		HK\$'000
Change in retained earnings recorded by PLL (HK\$14,000K – HK\$7,800K)		6,200
Less: Extra depreciation expense (CJ2)		(150)
Adjusted change in retained earnings of PLL		6,050
Non-controlling interest %		30%
		1,815
Dr. Non-controlling interest (P/L)	1,581	
Cr. Non-controlling interest (B/S)		1,581
		HK\$'000
Profit of PLL for the year		5,970
Less: Extra depreciation expense (CJ2)		(100)
Less: Unrealised profit arising from upstream transfer of inventories (CJ3)		(600)
Adjusted profit of PLL		5,270
Non-controlling interest %		30%
		1,581

Answer 1(b)

Share of associate's profits from 1 April 2022 to 30 September 2022

Dr. Investment in associate	HK\$75,000	
Cr. Share of associate's profits		HK\$75,000
HK\$300,000 x 25% = HK\$75,000		
Dr. Share of associate's profits	HK\$9,500	
Cr. Investment in associate		HK\$9,500
HK\$38,000 x 25% = HK\$9,500		

Reclassification of dividend income

Dr. Dividends income	HK\$30,000	
Cr. Investment in associate		HK\$30,000
HK\$120,000 x 25% = HK\$30,000		

Answer 2(a)

Bacon Limited
Statement of Profit or Loss and Other Comprehensive Income
for the year ended 31 March 2022

	<u>HK\$'000</u>
Revenue	355,000
Cost of sales	
(285,000 + 2,300 W1 + 6,000 W2)	<u>(293,300)</u>
Gross profit	61,700
Other income	1,500
Distribution cost	(4,200)
Administrative expenses (10,800 - 400 W3)	(10,400)
Loss on equity investments (W4)	(2,100)
Finance costs (W3)	<u>(522)</u>
Profit before tax	45,978
Income tax expense (W5)	<u>(4,500)</u>
Profit for the year	<u>41,478</u>
Other comprehensive income	
Items that will not be reclassified to profit or loss	
Gain on revaluation of property (W1)	<u>3,000</u>
Total comprehensive income for the year	<u>44,478</u>

Workings

W1 – Note 1

Revaluation of property:

Dr.	Property	HK\$3,000,000	
	Cr.	Gain on revaluation of property	HK\$3,000,000

Depreciation of plant and equipment:

Cr.	Cost of sales – depreciation expense	HK\$2,300,000	
	Cr.	Accumulated depreciation – plant and equipment	HK\$2,300,000

*HK\$23,000,000 x 10% = HK\$2,300,000

W2 – Note 2

Research and development costs:

Dr.	Cost of sales – research expense	HK\$6,000,000	
Dr.	Intangible assets	HK\$8,000,000	
	Cr.	Research and development costs	HK\$14,000,000

W3 – Note 3

Adjustment to bonds on initial recognition:

Dr.	Bonds	HK\$400,000	
	Cr.	Administrative expenses	HK\$400,000

Adjustment to interest payment on 31 March 2021:

Dr.	Finance costs	HK\$522,000	
	Cr.	Bonds	HK\$162,000
	Cr.	Debenture interests and dividends paid	HK\$360,000

*HK\$(12,000,000 – 400,000) x 9% / 2 = HK\$522,000

W4 – Note 4

Revaluation of financial assets:

Dr.	Loss on equity investments – P&L	HK\$2,100,000	
	Cr.	Financial assets	HK\$2,100,000

W5 – Note 5

Provision of tax:

Dr.	Income tax expense	HK\$4,500,000	
	Cr.	Tax Payable	HK\$4,500,000

W6 – Note 6

Dividends paid:

Dr.	Dividends paid	HK\$10,000,000	
	Cr.	Debenture interests and dividends paid	HK\$10,000,000

Share issuance:

Dr.	Cash	HK\$6,000,000	
	Cr.	Share capital	HK\$6,000,000

3,000,000 x HK\$2 = HK\$6,000,000

Answer 2(b)

Bacon Limited				
Statement of Changes in Equity for the year ended 31 March 2022				
	Share capital	Revaluation surplus	Retained earnings	Total equity
	<u>HK\$'000</u>	<u>HK\$'000</u>	<u>HK\$'000</u>	<u>HK\$'000</u>
Balance at 1 April 2021	20,000	2,200	7,800	30,000
Share issuance (W6)	6,000			6,000
Total comprehensive income for the year		3,000	41,478	44,478
Dividends paid (W6)			(10,000)	(10,000)
Balance at 31 March 2022	26,000	5,200	39,278	70,478

Answer 3

Parties	Related to CEL?	Explanations	Applicable paragraph of HKAS 24 (for reference only)
(a) TOL	Yes	TOL has control over CEL.	9(b)(i)
(b) Barbara Leung	Yes	Barbara is a member of the key management personnel of TOL, the parent of CEL.	9(a)(iii)
(c) Alex Chan	Yes	Alex has significant influence over CEL.	9(a)(ii)
(d) Emily Chan	Yes	Emily is a close family member (daughter) of Alex, who has significant influence over CEL.	9(a)(ii)
(e) ZEL	Yes	ZEL is controlled by Emily, who is a related party to CEL [a close family member (daughter) of Alex, who has significant influence over CEL].	9(b)(vi)-(a)(ii)
(f) VIL	Yes	CEL has joint control over VIL.	9(b)(ii)
(g) PUL	No	PUL and CEL are not related simply because they share joint control in a joint venture (VIL).	11

Answer 4(a)

According to HKAS 36.6, the recoverable amount of an asset (or a cash-generating unit) is the higher of its fair value less costs of disposal and its value in use.

Answer 4(b)

Carrying amount as at 31 March 2020

$$= \text{HK\$}5,600,000 - (\text{HK\$}5,600,000 - \text{HK\$}800,000) \times 3 / 10$$

$$= \text{HK\$}4,160,000$$

Recoverable amount = HK\$3,950,000 (the value in use)

Impairment loss

$$= \text{HK\$}4,160,000 - \text{HK\$}3,950,000$$

$$= \text{HK\$}210,000$$

Answer 4(c)

Carrying amount as at 31 March 2022

$$= \text{HK\$}3,950,000 - (\text{HK\$}3,950,000 - \text{HK\$}800,000) / 7 \times 2$$

$$= \text{HK\$}3,050,000$$

Recoverable amount

$$= \text{HK\$}3,350,000$$

The recoverable amount is greater than the carrying value by HK\$300,000. However, the impairment can only be reversed to the extent the plant is carried at what it would otherwise have been without any impairment (HKAS 36.117).

And this is:

$$\text{HK\$}5,600,000 - (\text{HK\$}5,600,000 - \text{HK\$}800,000) \times 5 / 10$$

$$= \text{HK\$}3,200,000$$

As a result, the reversal is only HK\$150,000 (= HK\$3,200,000 – HK\$3,050,000).

Answer 5(a)

Step 1: Identify the contract(s) with a customer

Step 2: Identify the performance obligations in the contract

Step 3: Determine the transaction price

Step 4: Allocate the transaction price to the performance obligations in the contract

Step 5: Recognise revenue when (or as) the entity satisfies a performance obligation

Answer 5(b)

The transaction price HK\$330,000 is allocated to the three performance obligations as follows:

	HK\$	HK\$
3D-printing machine	275,000	$(300,000 / 360,000^*) \times 330,000$
Installation service	8,250	$(9,000 / 360,000) \times 330,000$
1-year maintenance service	46,750	$(51,000 / 360,000) \times 330,000$
Total revenue	330,000	

*HK\$300,000 + HK\$9,000 + HK\$51,000 = HK\$360,000

1 October 2021

Dr.	Cash	HK\$330,000	
	Cr.	Sales revenue	HK\$275,000
	Cr.	Installation service revenue	HK\$8,250
	Cr.	Contract liability	HK\$46,750

31 March 2022

Dr.	Contract liability	HK\$23,375	
	Cr.	Maintenance service revenue	HK\$23,375

*HK\$46,750 / 12 x 6

* * * END OF EXAMINATION PAPER * * *